MUTUAL CONSTRUCTION (PRIVATE) LIMITED
Versus
OLD MUTUAL CONSTRUCTION ZIMBABWE (PRIVATE) LIMITED

HIGH COURT OF ZIMBABWE
**V. NDLOVU J**
HARARE; 25 September 2025, 04 March 2026

**Trial**

*V. Mazhetese,* for the Plaintiff
*R. Moyo,* for the Defendant

**V. NDLOVU J**: These are proceedings where the Plaintiff seeks payment of USD$617 815.29 and interest. The Plaintiffs pray for the following relief:

1. Payment US$617 815, 29 being retention, accrued interest, security cost and clients snag list claims emanating from Budiriro Housing Project.
2. Payment of interest at the prescribed rate from the date of summons to the date of full payment.
3. Costs of suit on a higher scale.

**FACTUAL BACKGROUND**

The Plaintiff, a company incorporated under Zimbabwean law, alleges that in 2013 it entered into a building contract with the Defendant for the construction of 613 houses in Budiriro, with CNM-YBJ Consulting Engineers appointed as project engineers. The works were completed in November 2019, after which the Plaintiff demanded settlement of outstanding claims. The Defendant allegedly failed to pay on time, prompting the Plaintiff to notify that interest would be charged at 35% per annum.

A meeting was held on 25 June 2021, and the Defendant expressed willingness to resolve the matter amicably, but thereafter failed to cooperate in fixing a further meeting. On 2 November 2023, the Defendant paid US$36,289.66 as primary retention but excluded retention interest, security costs, and client snag list claims amounting to US$617,815.29. The Plaintiff asserts that the Defendant refused to pay these outstanding sums despite repeated demands.

The Defendant raised several preliminary objections. It except to the action, arguing that the pleadings do not disclose a cause of action since the contract relied upon is incomplete. In any event, it was concluded between the Plaintiff and Central Africa Building Society (CABS), not the Defendant. Counsel emphasised that CABS is a separate corporate entity, and the Defendant's shareholding or involvement in the project does not make it a contracting party. The Defendant submitted that the Plaintiff's attempt to join CABS amounts to an admission that it sued the wrong party.

On procedure, the Defendant argued that the matter is governed by the High Court (Commercial Division) Rules 2020, particularly Rule 4(2), which provides that the general division rules apply only where the Commercial Court Rules are silent. Reliance was placed on Rules 12 and 36, which regulate exceptions and special pleas, with emphasis on the Commercial Court's mandate to ensure expeditious resolution of disputes. The Defendant argued for the claim's dismissal.

The Defendant further invoked clause 25 of the contract, which provides for the arbitration of disputes. It argued that the Plaintiff initially sued based on the contract but later shifted to rely on an alleged acknowledgement of debt, which has not been exhibited. Counsel submitted that the Plaintiff is "blowing hot and cold," citing Retinue Stars v Olympus SC 27/24 for the principle that alternative remedies must be exhausted before approaching the court. The Defendant submitted that more than ten years had lapsed since the Plaintiff became entitled to payment in May 2015, and that the claim is therefore prescribed under the Prescription Act [Chapter 8:11]. It was, however, accepted that oral evidence would be required to resolve the issue, which could be deferred to trial. The Defendant argued that compensation for late payment is limited to interest, and that claims for "interest upon interest" or damages arising from interest are not recognised in law, invoking the *in duplum rule*. It reiterated that the Defendant was not a party to the contract and cannot be held liable.

The Defendant denied being a contracting party, maintaining that its role was limited to that of Project Manager. It argued that the Plaintiff compromised its retention and interest claims against CABS by accepting US$36,289.66 in full and final settlement. It further submitted that payment in United States Dollars is not legally sustainable in light of Statutory Instruments 33

and 142 of 2019, which converted obligations into RTGS dollars. The Defendant disputed liability for security costs and client snag list claims, asserting they are unproven and without legal basis.

In response, the Plaintiff argued that the High Court Rules apply where the Commercial Court Rules are inadequate, citing Rule 42(2), (3), and (6). On cause of action, Plaintiff's counsel conceded that the contract was signed with CABS but maintained that the Defendant actively participated in the execution of the project, acknowledged the debt, and made part payment of the Plaintiff's claim, as evidenced by proof of payment and minutes of meetings. Counsel submitted that the Defendant explicitly agreed to assume its subsidiary's debts and obligations, justifying the summons against it.

The Plaintiff argued that referral to arbitration is only appropriate where a dispute exists. It submitted that the Defendant's part payment constituted an acknowledgement of debt, demonstrating liability and removing the matter from the scope of arbitration. The Plaintiff argued that the claims are valid and arise from the parties' agreement, as evidenced by the Defendant's part payment. It is submitted that the Defendant is properly before the court and cannot deny liability now after having acknowledged the debt.

**ISSUES FOR DETERMINATION**

1. Whether or not the Plaintiff's Declaration disclose a valid cause of action against the Defendant?
2. Whether or not this court has jurisdiction to hear this matter?
3. Whether or not the claim is recognizable in law?

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**APPLICATION OF THE LAW TO THE FACTS**

**1. Whether or not the Plaintiff's Declaration disclose a valid cause of action against the Defendant?**

The Defendant except to the Plaintiff's Declaration on the basis that it discloses no valid cause of action against it. The contract relied upon by the Plaintiff is incomplete and,

importantly, was executed between the Plaintiff and CABS, not with the Defendant. This fact was not disputed by the Plaintiff. The Plaintiff's contention is that the Defendant assumed liability by way of acknowledgement of debt through part payment. However, no such acknowledgement has been placed before the court to demonstrate that the Defendant accepted liability in its own capacity. What is before the court is merely proof of payment and minutes, neither of which establishes the Defendant as the contracting party. These documents do not disclose a cause of claim against the Defendant. In the absence of documentary proof, the Plaintiff's assertion remains unsubstantiated.

The definition of a cause of action has been consistently set out in our jurisprudence. *In Dube v Banana* 1998 (2) ZLR 92 (H) at 95, and *Muhahlera v Clerk of Parliament and Others* HH 107/07. The courts held that a cause of action is the entire set of facts which gives rise to an enforceable claim and includes every act material to be proved to entitle a plaintiff to succeed. The law requires that a cause of action must be supported by pleaded facts and evidence capable of sustaining liability. Mere allegations, unsupported by proof, are insufficient.

In the case of *Chimwanengara v The Sheriff of the High Court of Zimbabwe (N.O) and Anor* HH487/18 at pages 3 and 4, the court emphasized that to found a cause of action, there must be a duty owed to the plaintiff and a causal link between the parties. In that case, the absence of any pleaded relationship or duty of care meant that no cause of action was disclosed. The same reasoning applies here: the pleadings fail to establish any contractual or legal relationship between the Plaintiff and the Defendant.

In *Warehousing and Sales CC v Bowsink Investments* CC 2000 (3) SA 833 at 834, the following was stated,

> "The test to be applied in determining an exception is as follows: The excipient has the duty to persuade the court that upon every interpretation which the pleading in question, and in particular any document on which it is based, could bear no cause of action or defence, failing this, the exception had to be dismissed."

The Defendant has managed to show that it was acting merely as Project Manager for CABS, a fact confirmed by the Plaintiff. The Plaintiff's own replication admits that the Defendant was a project manager, which can only be construed as an agent of CABS. Agency does not render the Defendant liable under the contract; liability rests with the principal, CABS. Since the Plaintiff

sues on the basis of the contract with CABS, and no independent obligation of the Defendant has been demonstrated, no cause of action lies against the Defendant. This weighs heavily in favour of the Defendant's exception.

**2. Whether or not this court has jurisdiction to hear this matter?**

The Defendant argues that the Plaintiff's claims for retention interest, security costs, and client snag list are not legally cognisable. It submits that compensation for late payment is limited to interest, that "interest upon interest" is impermissible, and invokes the *in duplum rule.* The Defendant correctly points out that one cannot claim interest upon interest and simultaneously claim damages arising from interest. This argument cannot be sustained.

No acknowledgement of debt has been placed before the court to demonstrate that the Defendant accepted liability in its own capacity. The Plaintiff's reliance on mere assertions, unsupported by documentary proof, cannot displace the clear contractual obligation to arbitrate. The fact that the matter has been brought before this court is itself evidence that a dispute exists between the parties. Clause 25 of the contract, which the Plaintiff tenders as part of its case, can be summarised to say that any dispute or difference arising between the parties, whether during the progress or upon completion of the works, shall be referred to arbitration.

The jurisprudence is settled that where parties have freely and voluntarily bound themselves to an arbitration clause, the courts will ordinarily give effect to that agreement. Arbitration clauses are not lightly disregarded, for they embody the principle of party autonomy and the policy of encouraging alternative dispute resolution. Unless the Plaintiff can demonstrate that the matter falls outside the scope of the arbitration clause, or that the clause is invalid or inoperative, the court is bound to respect the parties' agreement.

In the present case, the Plaintiff has not discharged that burden. The alleged acknowledgement of debt, which is said to remove the matter from arbitration, has not been substantiated. Without proof of such acknowledgement, the Plaintiff cannot rely on it to bypass the arbitration clause. The contract, as it stands, binds the parties to arbitration, and the Plaintiff's reliance on unproven assertions cannot displace this obligation.

Accordingly, the Defendant's plea for referral to arbitration carries significant weight. The jurisdiction of this court is ousted by the arbitration clause, and the dispute must be referred to arbitration in terms of Clause 25 of the contract.

This court finds that it lacks jurisdiction to entertain the matter. Clause 25 of the contract is binding and enforceable, and in the absence of proof of acknowledgment of debt or any other valid ground to avoid arbitration, the dispute must be referred to arbitration. The Defendant's objection on jurisdiction is upheld.

**3. Whether or not the claim is recognizable in law?**

The Defendant contends that the Plaintiff's claims for retention interest, security costs, and client snag list are not legally cognisable. It submits that compensation for late payment is limited to interest, that "interest upon interest" is not permissible. The Defendant argues that one cannot claim interest upon interest and simultaneously claim damages arising from interest.

The *in duplum rule* is well established in our law. It prohibits interest from exceeding the capital debt, and it equally bars claims that seek to disguise "interest upon interest" as damages. Claims for damages arising from interest are not recognised in law, as they offend against this principle. The Plaintiff's claims for retention interest and related costs, therefore, fall outside the scope of legally enforceable claims.

In *Chimakure & Anor v Mutambara & Anor* SC 91/20, the Supreme Court emphasized that the ultimate test in determining whether an exception should be upheld is whether the excipient is prejudiced. In the present matter, the Defendant is clearly prejudiced by being called upon to answer to claims that are not legally sustainable. There is no cause of action disclosed against the Defendant in respect of these claims.

As was stated in *Gwaradzimba N.O. v CJ Petron & Co. (Pty) Ltd* SC 12/2026 at page 6, once a dispositive issue has been determined, it is not always necessary for the court to deal with every other issue raised. The court may properly take the view that its finding on a particular issue is sufficient to dispose of the matter. In the present case, the absence of a legally cognisable claim is itself dispositive. In addition, the existence of a binding arbitration clause, coupled with the fact that the claims advanced are not recognised in law, are further issues which

independently dispose of the matter. Taken together, these findings demonstrate that the Plaintiff has failed to establish a sustainable cause of action against the Defendant. It would therefore serve no purpose for the court to traverse the remaining issues, as the ones already determined are sufficient to finally dispose of the matter.

**DISPOSITION**

The Plaintiff's Declaration fails to disclose a valid cause of action against the Defendant. The contract relied upon was concluded with CABS and not with the Defendant. Clause 25 of the contract binds the parties to arbitration, thereby ousting the jurisdiction of this court. The Plaintiff's claims for retention interest, security costs, and client snag list are not legally cognisable, being contrary to the *in duplum rule,* and they are not supported by law. Accordingly, the Defendant's exception is upheld. The Plaintiff's claim against the Defendant is dismissed in its entirety. Costs shall follow the cause.

**V NDLOVU J:……**

*Maunga Maanda and Associates*, Plaintiff's legal practitioners
*Gill, Godlonton & Gerrans,* Defendants' legal practitioners